

Northbridge Manufacturing — Procurement & Purchasing Policy

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This policy governs how Northbridge employees request, approve, and pay for goods and services. It applies to all departments and all non-payroll spending.

Purchase Requisitions

All purchases must begin with a purchase requisition submitted in Coupa (form FIN-F-052). Requisitions must include a description, estimated cost, vendor (if known), and the budget code to be charged. Purchases may not be split into smaller orders to stay under an approval threshold.

Approval Thresholds

Purchase Amount	Required Approval
Up to \$1,000	Direct manager
\$1,001 - \$10,000	Department director
\$10,001 - \$50,000	VP + Finance review
Over \$50,000	CFO + competitive bids required

Preferred Vendors

Employees must purchase from the preferred-vendor catalogue where a suitable option exists. Use of a non-preferred vendor for catalogue-available items requires written justification approved by Finance. New vendors must complete onboarding (tax forms, banking details, and a signed master services agreement) before any purchase order is issued.

Competitive Bidding

Purchases over \$50,000 require at least three competitive written bids unless the item is sole-sourced. Sole-source justifications must be documented and approved by the CFO. Bid documentation is retained by Finance for seven years.

Payment Terms

Standard payment terms are net 30 from invoice receipt. Early-payment discounts (such as 2/10 net 30) should be accepted whenever cash flow permits. Invoices are matched against the purchase order and receiving record (three-way match) before payment is released.

Prohibited Purchases

Corporate funds may not be used for personal items, gift cards exceeding \$100 without HR approval, or any good or service that violates the company code of conduct. Capital equipment

over \$5,000 must be procured as a fixed asset, not expensed.